

Human Resource Development (HRD)

Concept & scope of HRD

- **Enabling and empowering** people in organization so that they can actualize their potential
- treat employees as value creators/value enhancers and assets based on the **Resource Based View** (RBV) of the firm
- **Employee** not a mere factor of production but **source of competitive advantage**
- It is a **continuing process** and its **scope includes**



Figure 1: Scope of HRD

Goals of HRD

1. Employee competency development
 - improve capabilities of each employee as an individual
 - Identify competency gaps of employees in present job and bridge gaps through development
 - Preparing people for expected future roles in the organization
2. Employee Motivation Development
 - Desire to perform to the best ability
 - Commitment to job and organization
 - Improve relationship between each employee and his superior
 - Team spirit
3. Organization climate development
 - Building free expression of ideas
 - Promotion of collaboration amongst different departments

Performance Appraisal**Meaning**

- Systematic evaluation of the performance of employees
- understanding the abilities of a person for further growth and development

Objectives

- **Basis for Compensation** - determine compensation packages, wage structure, salaries raises, etc., based on merit
- **Basis of Promotion** – identify efficient employees from inefficient employees.
- To identify the strengths and weaknesses of employees to place right men on right job.
- **Employee development** - To maintain and assess the potential present in a person for further growth and development.
- **Effective communication** – between employee and employer
- **Motivation** - It serves as a basis for influencing working habits of the employees.
- **Validation of selection and training processes** - To review and retain the selection and other training programmes.

Features of effective performance appraisal system

- Mutual trust
- Clear objective
- Standardization
- Training
- Job relatedness
- Documentation
- Feedback and participation
- Individual differences
- Post appraisal interview
- Review and appeal

Performance Appraisal Methods

Individual Evaluation Methods	Multiple-people Evaluation Method	Other Methods
• Forced choice Method • Checklists • Critical Incident • Graphic Rating Scale • Essay Evaluation • Confidential Report • MBO • BARS • 360 degree	• Ranking • Paired Comparison • Forced distribution	• Field Review Technique • Performance tests

Method	Features
Traditional Methods	
Ranking	• Relative position of each employee vis-à-vis each other rather than with some standard. • Employees are ranked according to their performance levels • method speaks only of the position where an employee stands in his group and not how much better or worse he/she is • No systematic procedure for ranking individuals in the organization and may be biased.

Method	Features																																				
Paired Comparison	Employees Rated <table><tr><td></td><td>A</td><td>B</td><td>C</td><td>D</td><td>E</td></tr><tr><td>A</td><td></td><td>-</td><td>+</td><td>+</td><td>-</td></tr><tr><td>B</td><td>+</td><td></td><td>+</td><td>+</td><td>-</td></tr><tr><td>C</td><td>-</td><td>-</td><td></td><td>-</td><td>+</td></tr><tr><td>D</td><td>-</td><td>-</td><td>+</td><td></td><td>+</td></tr><tr><td>E</td><td>+</td><td>+</td><td>-</td><td>-</td><td></td></tr></table> Compared with - There will be a list of relevant options. - Each option is in comparison with the others in the list. - The results will be calculated and then such option with highest score will be mostly chosen		A	B	C	D	E	A		-	+	+	-	B	+		+	+	-	C	-	-		-	+	D	-	-	+		+	E	+	+	-	-	
	A	B	C	D	E																																
A		-	+	+	-																																
B	+		+	+	-																																
C	-	-		-	+																																
D	-	-	+		+																																
E	+	+	-	-																																	
Forced Distribution	Non-Performers Average performers Top Performers 10%70%20% - Employees are ranked in terms of forced allocations/rating categories. - For instance, it is vital that the proportions be shared in the way that 10 or 20% will be the highest levels of performances, while 70 or 80% will be in the middle level and the rest will be in the lowest one.																																				
Weighted Checklists	Weighted checklist <table><tr><td>Traits</td><td>Weights (1-5)</td><td>performance(1-5)</td></tr><tr><td>• Attendance</td><td>0.5</td><td></td></tr><tr><td>• Knowledge of the job</td><td>1.0</td><td></td></tr><tr><td>• Quantity of the work</td><td>1.0</td><td></td></tr><tr><td>• Quality of the work</td><td>1.5</td><td></td></tr><tr><td>• Dependability</td><td>1.5</td><td></td></tr><tr><td>• Interpersonal relations</td><td>2.0</td><td></td></tr><tr><td>• Organisational loyalty</td><td>1.5</td><td></td></tr><tr><td>• Leadership potential</td><td>1.5</td><td></td></tr></table> - based on list of descriptive statements about effective and ineffective behaviour on jobs - the performance of employee s rated on the basis of positive checks	Traits	Weights (1-5)	performance(1-5)	• Attendance	0.5		• Knowledge of the job	1.0		• Quantity of the work	1.0		• Quality of the work	1.5		• Dependability	1.5		• Interpersonal relations	2.0		• Organisational loyalty	1.5		• Leadership potential	1.5										
Traits	Weights (1-5)	performance(1-5)																																			
• Attendance	0.5																																				
• Knowledge of the job	1.0																																				
• Quantity of the work	1.0																																				
• Quality of the work	1.5																																				
• Dependability	1.5																																				
• Interpersonal relations	2.0																																				
• Organisational loyalty	1.5																																				
• Leadership potential	1.5																																				
Critical Incident	identifying and describing specific critical incidents where employees did something really well or that needs improving during their performance period																																				
Graphic Rating Scale	Employee Name _____ Department _____ Job Title _____ <table><tr><td>Performance Level</td><td>Poor</td><td>Fairly Poor</td><td>Fairly Good</td><td>Good</td><td>Excellent</td></tr><tr><td>Work Dimension</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Attendance</td><td></td><td></td><td>✓</td><td></td><td></td></tr><tr><td>Behavior towards Subordinates</td><td></td><td></td><td>✓</td><td></td><td></td></tr><tr><td>Sincerity</td><td></td><td></td><td></td><td>✓</td><td></td></tr><tr><td>Dependability</td><td></td><td></td><td></td><td></td><td>✓</td></tr></table> Checks on the performance levels of each employee	Performance Level	Poor	Fairly Poor	Fairly Good	Good	Excellent	Work Dimension						Attendance			✓			Behavior towards Subordinates			✓			Sincerity				✓		Dependability					✓
Performance Level	Poor	Fairly Poor	Fairly Good	Good	Excellent																																
Work Dimension																																					
Attendance			✓																																		
Behavior towards Subordinates			✓																																		
Sincerity				✓																																	
Dependability					✓																																
Essay Evaluation	- Supervisors are required to express the strong and weak points of employees and explain those points. - Non-quantitative technique. - It is often used with the graphic rating scale method																																				
Field Review Technique	- Appraisal done by someone outside the department of the employee, usually the HR department or corporate department. - Mostly used for managerial level promotions																																				
Performance tests	Tests to check the knowledge and skills of the employee are conducted																																				
Confidential Report	- Descriptive report prepared, generally at the end of every year, by the employee's immediate superior. - The report highlights the strengths and weaknesses of the subordinate. - The report is not data based. The impressions of the superior about the subordinate are merely recorded there - It does not offer any feedback to the subordinate																																				

Method	Features
	It is mostly used in government organizations
Modern Methods	
Management By Objectives (MBO)	- Superiors and subordinates participatively set goals that are tangible, verifiable and measurable - assessments of subordinate's performance on a regular basis, and finally make rewards based on the results achieved systematic and rational technique that allows management to attain maximum results from available resources by focusing on achievable goals - This method mostly focuses on results achieved (goals) and not on the way employees can fulfill them (methods).
Behaviorally anchored rating scale (BARS)	- Also Behavioural expectation scale - making ratings on behaviors or sets of indicators to determine the effectiveness or ineffectiveness of working performance - BARS is a mix of the rating scale and critical incident techniques
360 degree Feedback	- Appraisal by different parties like top management, immediate superior, peers, subordinates, self, customers - Developed by General Electric in 1992
Cost Accounting	- Performance evaluated on monetary benefits employee has given t the firm Cost benefit analysis of the employee

Performance appraisal biases

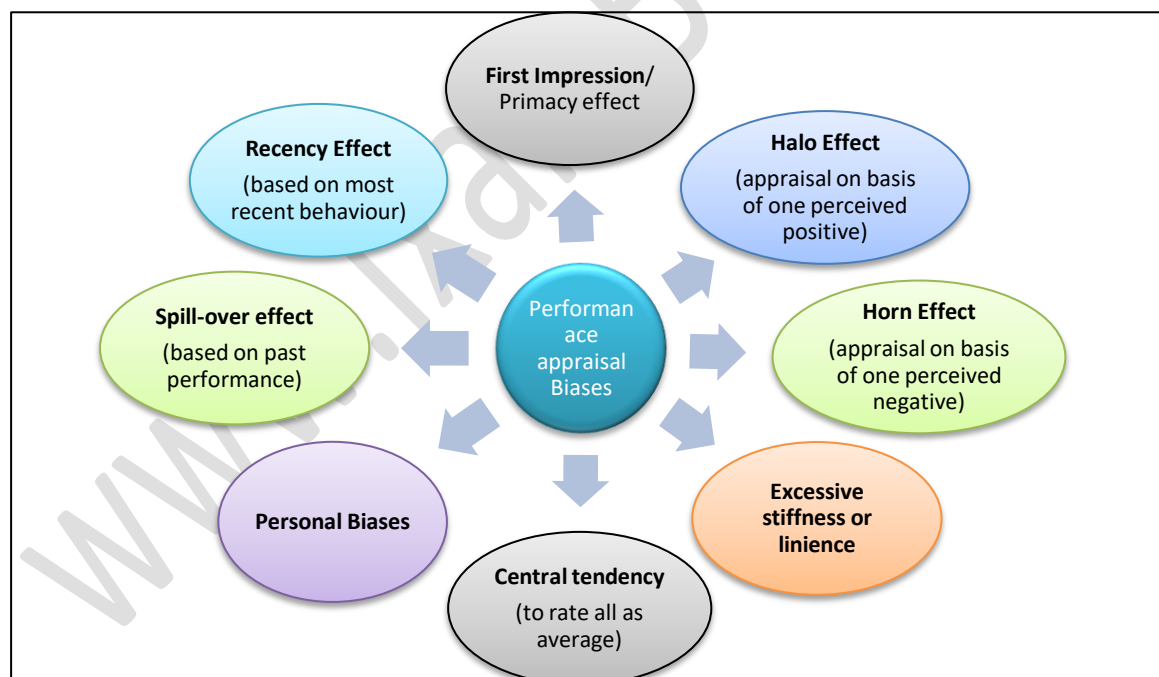
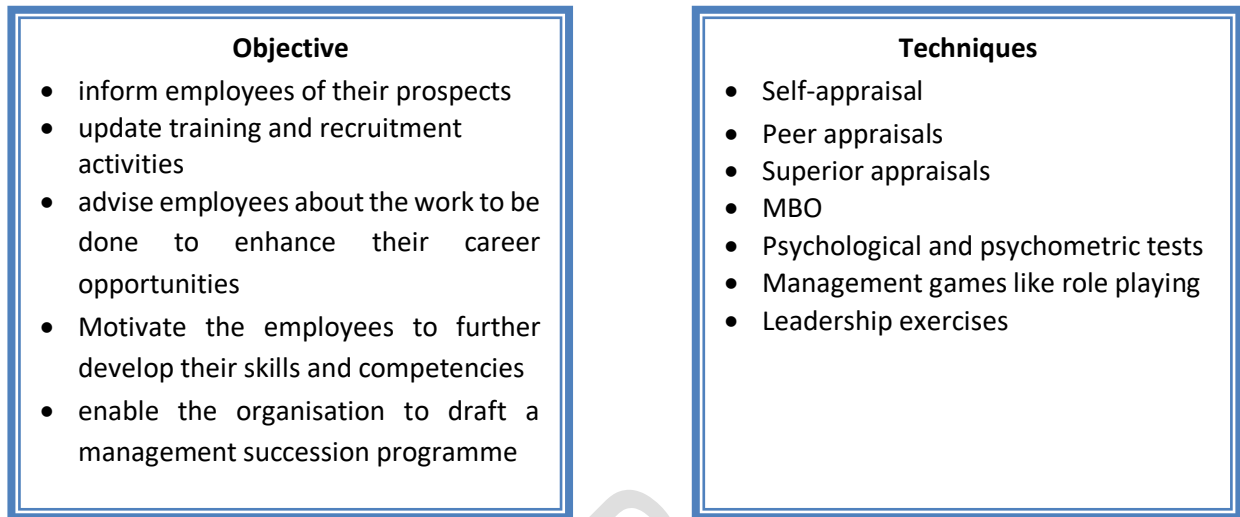


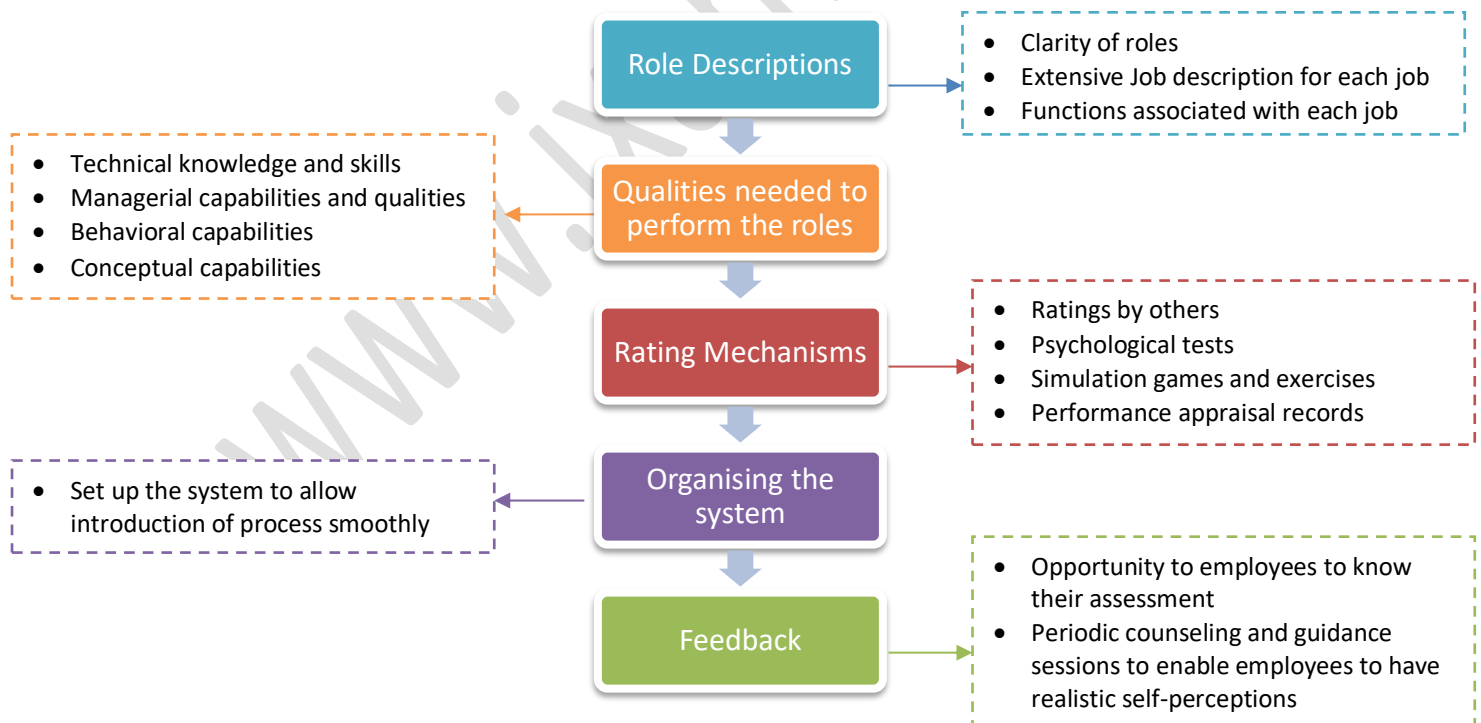
Figure 2: Performance appraisal Biases

Potential appraisal and development

- Determining an employee's strengths and weaknesses to predict his/her future performance
- future – oriented appraisal aimed to identify and evaluate the potential of the employees to assume higher positions and responsibilities in the organizational hierarchy
- considered as a part of the performance appraisal processes by many organisations



Steps of Potential appraisal system

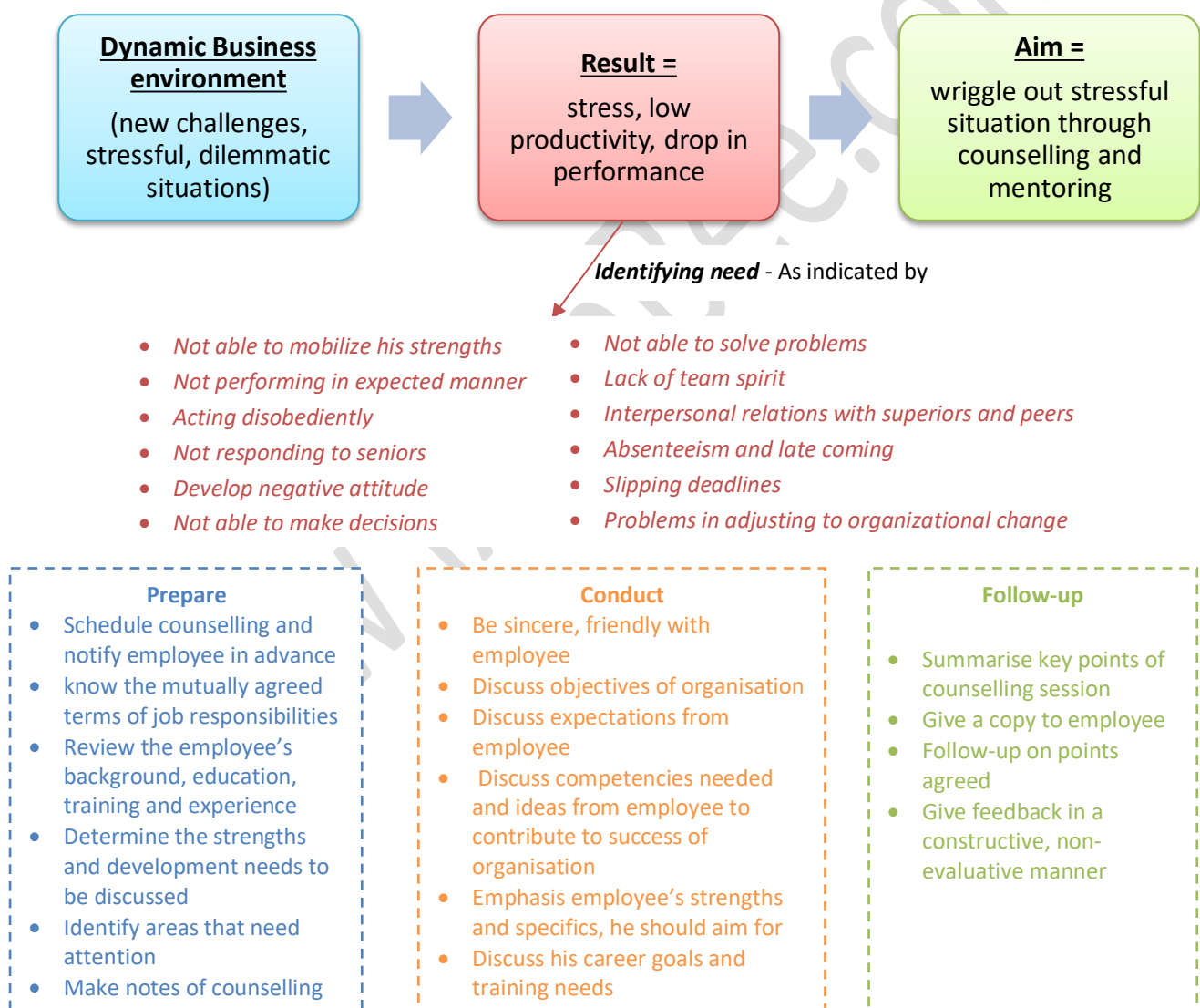


Feedback/Coaching and Performance Counseling/Mentoring

- Providing help and support to subordinates in **objectively analysing** their performance to **know themselves better** – **their strengths and weaknesses**
- **Improving** subordinate's **professional and interpersonal competence** by giving him **feedback** about his behaviour
- Setting goals and formulating **action plans for further improvement**
- Set of **techniques, skills, attitudes** to help employees manage **their own problems** using their **own resources**

Process of Performance

Identifying Need → **Prepare for Counseling** → **Conduct the session** → **Follow-up**



The key to **successful performance counseling** is

- **effective communication** (effective listening, responding to questions, giving feedback),
- **influencing behavior** (identifying the behaviors, giving autonomy, positive reinforcement),

- **helping** (concern and empathy, 2-way relationship with trust, identify development needs)

Career Planning and Development

Career planning - Process of selecting career goals and the path to these goals

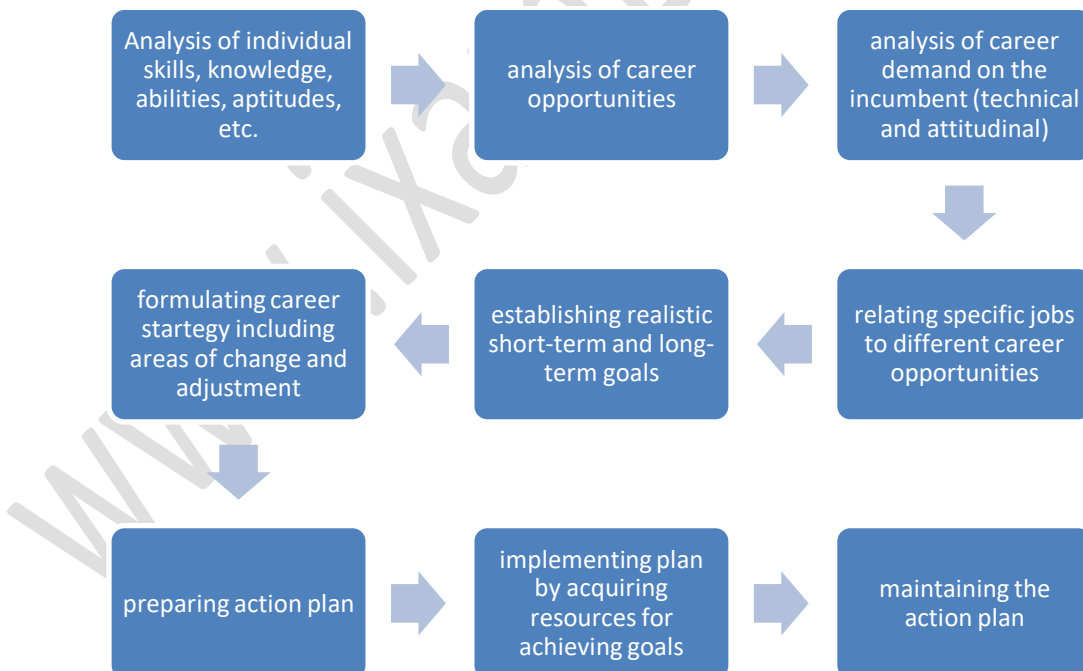
Career Development – personal improvements to achieve the career goal

Career management – designing and implementing goals, plans, and strategies to enable an employee to achieve career goals while satisfying organisational needs

Objectives of Career Planning



Process of Career Planning & Development



Techniques for Effective Career Development

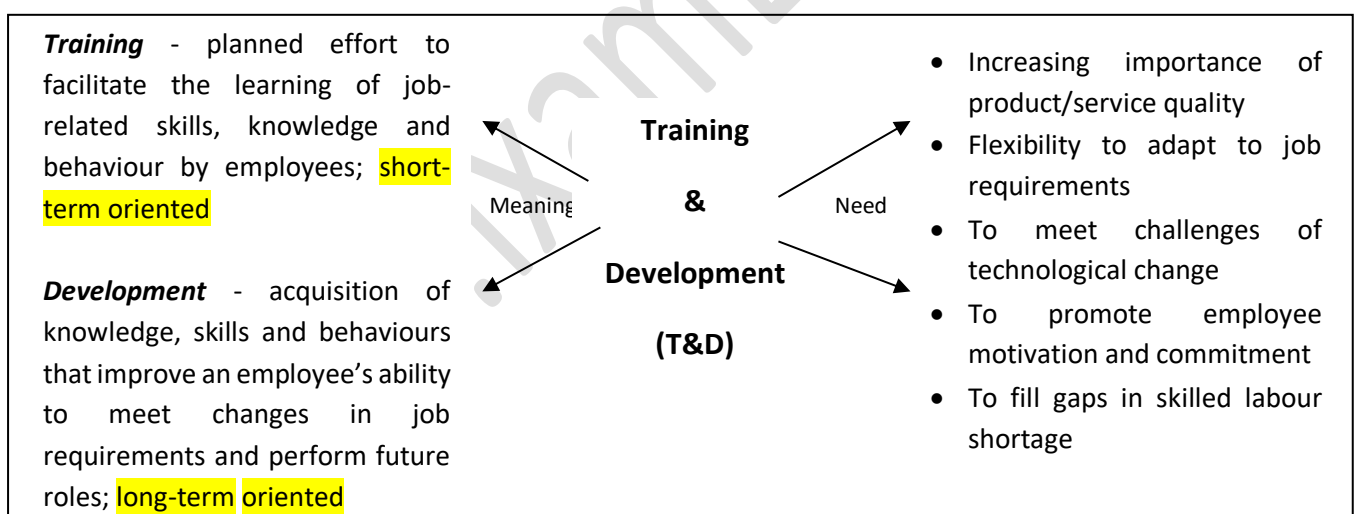
- Challenging initial job assignment
- Dissemination of career option information
- Job positioning
- Assessment centers

- Career counseling

Training and Development

Job Analysis	Job Description	Job Specification	Job Design
• systematic exploration, study and recording the responsibilities, duties, skills, accountabilities, work environment and ability requirements of a specific job. • determining the relative importance of the duties, responsibilities, physical and emotional skills for a given job. • what a job demands and what an employee must possess to perform a job productively.	• basic job-related data that is useful to advertise a specific job & attract a pool of talent. • information such as job title, job location, reporting to and of employees, job summary, nature and objectives of a job, tasks and duties to be performed, working conditions, machines, tools and equipments to be used by a prospective worker and hazards involved in it	• also known as employee specifications • a written statement of educational qualifications, specific qualities, level of experience, physical, emotional, technical and communication skills required to perform a job, • includes general health, intelligence, aptitude, memory, judgment, leadership skills, emotional ability, adaptability, flexibility, values and ethics, manners and creativity,	• follows job analysis • aims at outlining and organizing tasks, duties and responsibilities into a single unit of work for the achievement of certain objectives. • also outlines the methods and relationships that are essential for the success of a certain job. • refers to the what, how much, how many and the order of the tasks for a job.

Figure 3: Job related terminology

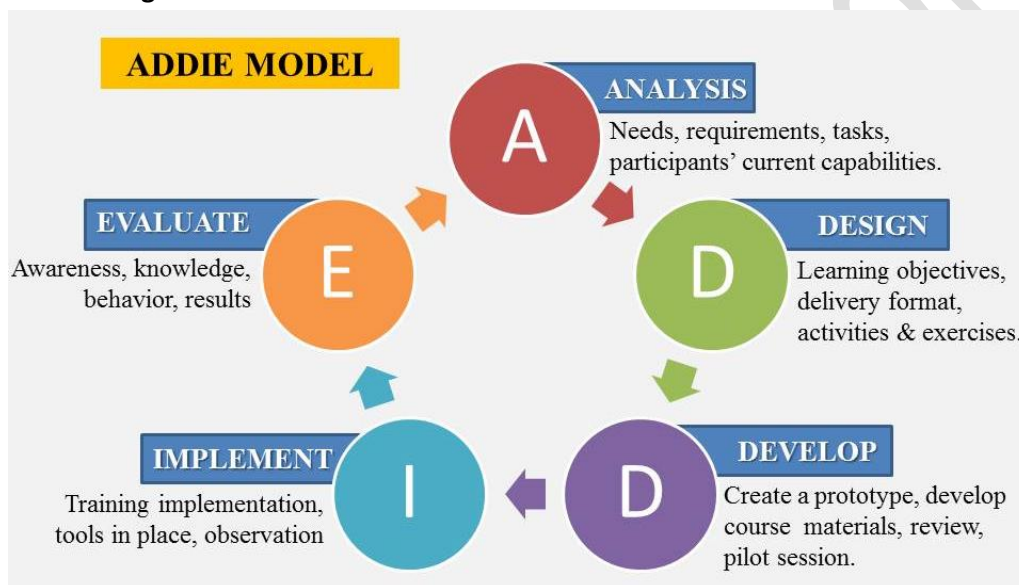


Training Methods

For Non-managerial employees		For Managerial employees	
Method	Features	Method	Features
On-the-job training	Hands-on experience of job with instructions from supervisor	Case studies	To build analytical, problem-solving, critical thinking skills through active participation
Apprenticeship	Practical and theoretical instruction and experience both on and off the job	Management games	Simulate real-life issues faced in the workplace
Co-operative training	Practical on-the-job + formal educational classes	Role playing	Builds team-work and negotiating skills; effective in connecting theory to practical aspect

For Non-managerial employees		For Managerial employees	
Method	Features	Method	Features
Internship	Real-life experience of job for short period by students	Behavior modeling	Demonstrates desired behavior and gives trainee the chance to role-play
Classroom/ vestibule Instruction	Classroom instructions in operation of equipments at work	Group discussions	Share knowledge and experiences and views
Computer assisted Instruction (CAI)	Instructional material through computer in an interactive format	Job rotation	Hands on experience of various jobs and departments in organization
Computer Managed Instruction (CMI)	CAI + score tests to determine level of training proficiency	Understudy assignment	Short duration assignment at different location
Simulation	Imitating real work experiences under controlled environment	Other methods	Like coaching, seminars and conferences, special projects, action learning, staff meetings, planned career progression,

Systematic Training Process – ADDIE Model



Training Evaluation – Kirkpatrick's Model

Given by – **Donald Kirkpatrick**

Model - The four levels of evaluation:

1. **Reaction of the Trainee** - thoughts and feelings of the participants about the training
2. **Learning** - the increase in knowledge or understanding as a result of the training
3. **Behaviour** - extent of change in behaviour, attitude or capability
4. **Results** - the effect on the bottom line of the company as a result of the training

Cost & Benefits of Training

Typical Costs

- Trainer's salary and time
- Trainee's salary and time
- Materials for training
- Expenses for trainer and trainee
- Cost of facilities and equipment
- Lost productivity (opportunity cost)

Typical Benefits

- Increase in production
- Reduction in errors, accidents
- Reduction in turnover
- Less supervision required
- Ability to use new capabilities
- Adapt new technology
- Attitude changes

Rewards

- Rewards for better performance and success matter more than the actual achievement
- organizations must evolve reward systems that motivate each individual according to his or her level of self-development and need for either monetary benefit or fulfilment imperative
- Six rules of rewards
 - Do not promise rewards in advance
 - Keep anticipated rewards small
 - Reward continuously, not just once
 - Reward publicly, not privately
 - Reward behaviors, not only outcomes
 - Reward peers, not only subordinates

Employee Welfare/ Quality of Life Work (QWL)

QWL = Favorableness or un-favorableness of a job environment

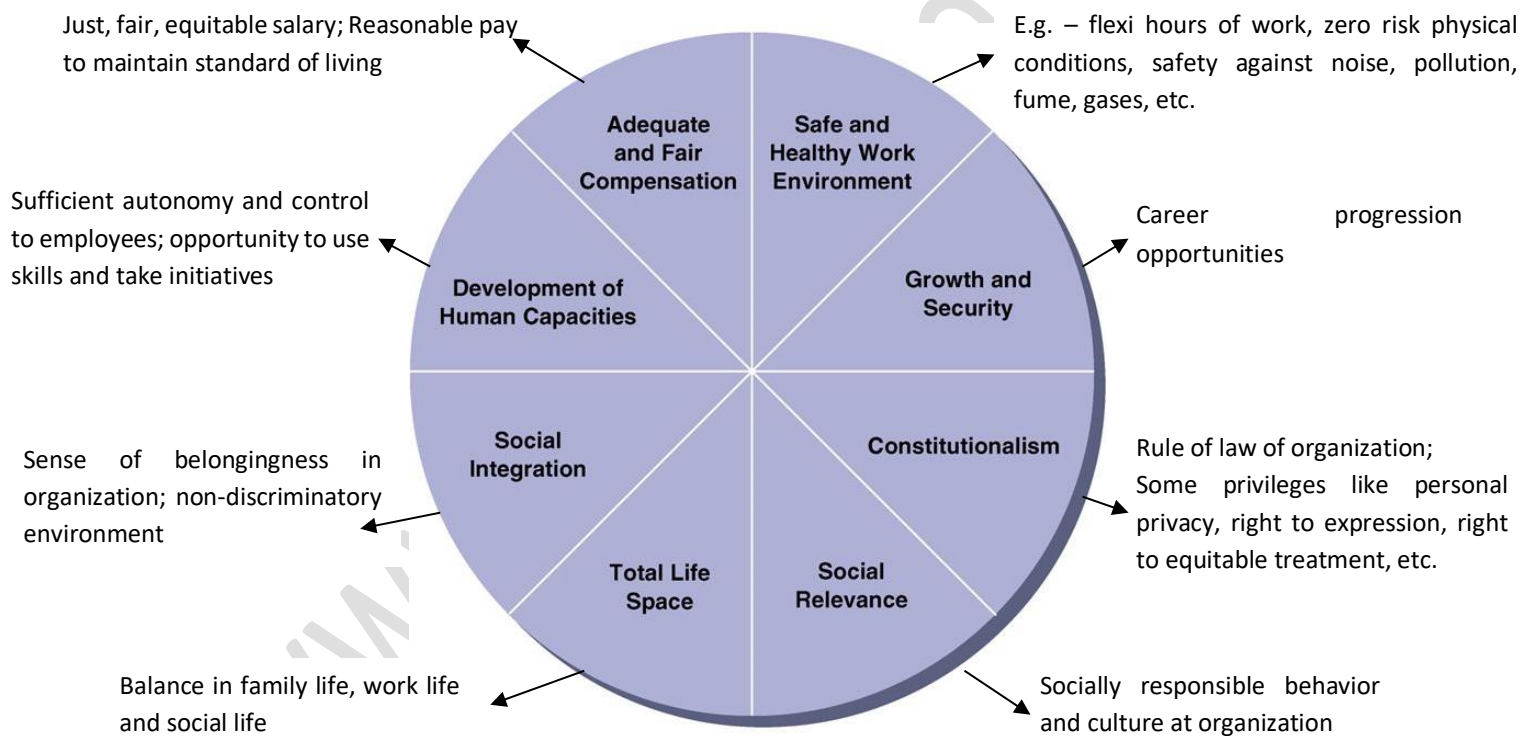


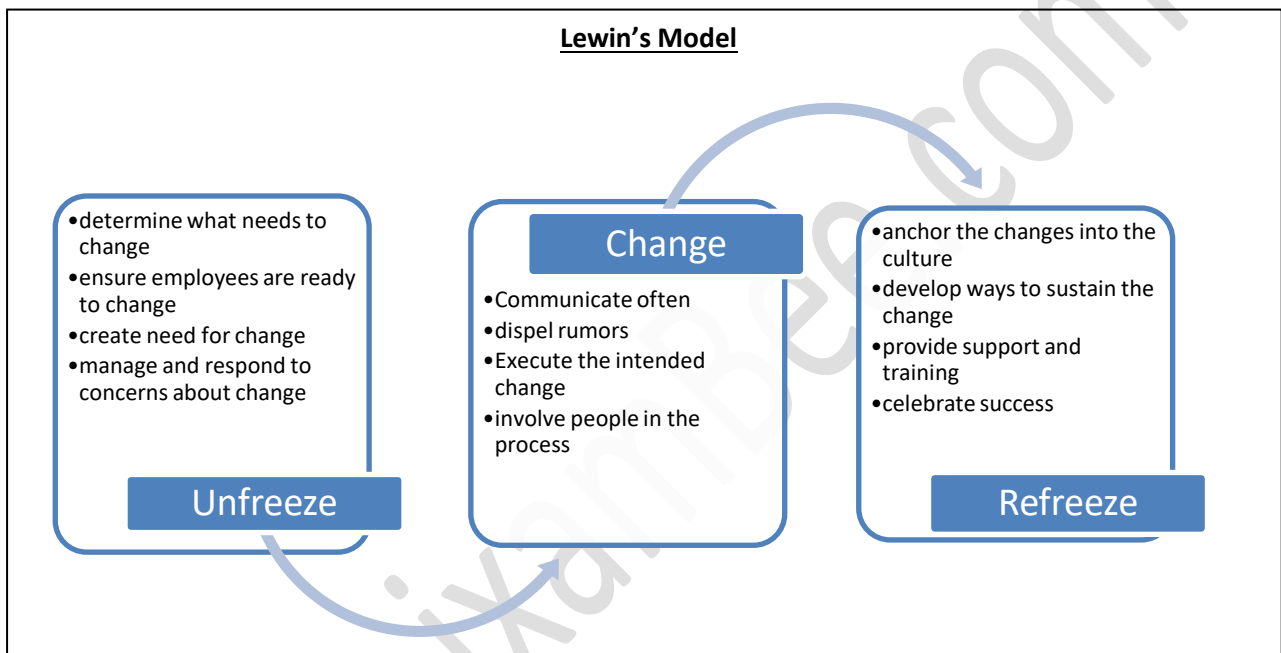
Figure 4: Walton's categorization of QWL

Organizational Development (OD)

- Long-term systematic and comprehensive approach to planned change
- Based on research and theory
- Improve both individual and organizational
- Reciprocal relationship between individual and organization

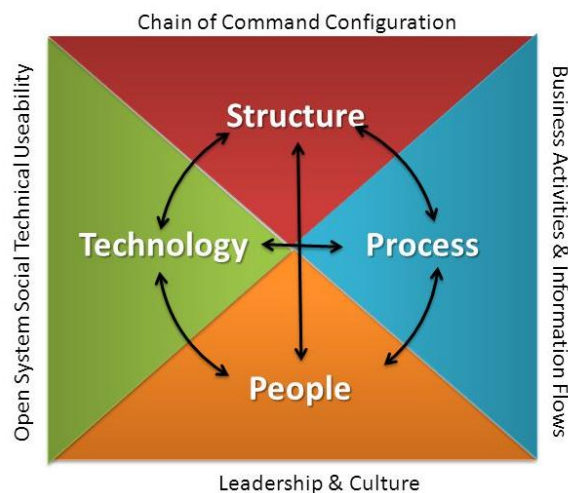
Models of OD

1. Lewin's Model



2. Leavitt's Model/Leavitt's Diamond

Founded on the interactive nature of the four subsystems (task, structure, people, technology) in a change process



3. Larry Greiner's Model

According to Griener, change occurs in terms of certain sequential stages. The external stimulus pressurizes the management of organization to initiate change process.

